

Use of Proceeds

The requested loan funds will be used for the following purposes

Land Purchase	
Building Construction	
Building Soft Costs (Engineering, Etc.)	
Construction Contingency	
Inventory Purchase	
Equipment Purchase	
Leasehold Improvements Purchase	
Purchase of Existing Business	\$500,000
Franchise Fees	
Debt Refinance	
Accounts Payable	
Working Capital	\$235,000
Application and Closing Costs	\$15,000
Other:	

Total Funds Required	\$750,000
Less: Proposed Borrower Down Payment (Equity)	\$250,000
Total Loan Request	\$500,000

Details on construction project (location, size and type of facility, etc.), assets to be purchased (location, description, etc.), items to be refinanced, uses of working capital, and source of Borrower's injection (equity):

Acquisition of 100% of Refuge Hospice, LLC (TX), Medicare-certified (CCN eff. 1/8/2024) and Medicaid-enrolled, operating as Azalea Hospice & Palliative Care (Tyler, TX). Seller terms per MIPA: \$125,000 down ~8/1/2026 (49%); \$375,000 balance at 6% - \$31,250/mo from 9/1/2026, ~\$258,489 final payment 1/15/2027 (42 CFR 424.550(b) 36-mo rule note prepayable without penalty. SBA proceeds retire the seller balloon (~\$258,489) at the 51% transfer 1/15/2027; remainder funds ramp working capital. Injection: J. Bullard \$195,000 (\$100K wired 5/7/2026) + G. Schackmann \$55,000.

How will this loan benefit your company?

Converts short-term seller financing into permanent SBA financing, freeing cash during the census ramp; funds working capital through the Medicare payment lag so the agency reaches ~40 patients/day by month 12; creates ~30 East Texas healthcare jobs by year 2. Projected EBITDA \$263K year 1 / \$680K year 2 (before debt service).